Fidelity® Japan Smaller Companies Fund

Key Takeaways

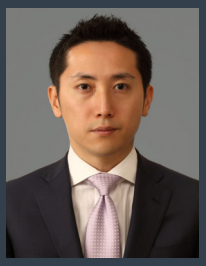
- For the semiannual period ending April 30, 2026, the fund advanced 17.46%, topping the 16.56% return of its benchmark, the Russell/Nomura Mid-Small Cap℠ Japan Index.
- Smaller-company stocks in Japan rallied during the six months and outperformed the country's large caps. A shift toward domestically driven growth, acceleration of corporate governance reforms, capital spending for artificial intelligence infrastructure and fiscal stimulus all helped fuel gains among smaller Japanese companies.
- Within this environment, Portfolio Manager Masaki Nakamura's strategy of investing in companies with a distinctive catalyst to drive growth helped the fund outpace its benchmark this period.
- Stock selection in the materials sector added the most value versus the benchmark the past six months.
- The top individual relative contributors were sizable overweights in SWCC (+106%), which makes power cables and advanced industrial devices, and bank holding company Hokuhoku Financial Group (+55%).
- In contrast, adverse positioning in the information technology sector – primarily among software & services companies – detracted from the fund's relative result.
- The biggest individual relative detractors included overweights in Visional (-32%), which provides a membership-based, direct-recruiting career platform, and management consulting and IT solutions provider Nomura Research Institute (-42%).
- As of April 30, Masaki continues to have a positive outlook for the Japanese equity market. He's encouraged by the trend of improving earnings quality across many types of companies. At the same time, given stretched valuations for certain AI-related stocks, he's reallocating capital toward companies that he believes have underappreciated earnings growth potential.

MARKET RECAP

International equities gained 12.22% for the six months ending April 30, 2026, according to the MSCI ACWI (All Country World Index) ex USA Index, reflecting an April (+9.69%) surge that followed a downturn amid conflict in the Middle East and concern about the viability of investments in artificial intelligence. The index returned -10.75% in March, due to increased uncertainty about global economic activity and rising energy prices in the aftermath of joint U.S.–Israeli military action in Iran that began on February 28. The conflict sent a shockwave through oil markets, with the potential to dampen growth and stoke inflation. Earlier in the period, moves by some foreign central banks to ease monetary policy contributed to a favorable backdrop, as did a generally weaker U.S. dollar. By region for the six months, Canada (+17%) and emerging markets (+15%) led the way. The U.K. and Asia Pacific ex Japan each gained about 12%. Conversely, Europe ex U.K. (+9%) and Japan (+11%) lagged by the widest margin. Among sectors, energy (+34%) was the top performer, benefiting from rising prices for crude oil and natural gas, due largely to concerns about global supply disruption and the closure of the Strait of Hormuz, which accounts for roughly 35% of global crude exports. Information technology rose roughly 33% and materials advanced 22%. Conversely, stocks in the communication services (-13%) and consumer discretionary (-10%) sectors stood out as meaningful laggards.

Not FDIC Insured • May Lose Value • No Bank Guarantee

Fidelity INVESTMENTS



Masaki Nakamura
Portfolio Manager

Fund Facts

Trading Symbol:	FJSCX
Start Date:	November 01, 1995
Size (in millions):	$424.45

Investment Approach

- Fidelity® Japan Smaller Companies Fund is a country-focused equity strategy that seeks long-term growth of capital by investing primarily in the securities of Japanese issuers, and other investments that are tied economically to Japan, with smaller market capitalizations.
- Our investment approach is anchored by the philosophy that purchasing high-quality companies below their estimated fair value can generate excess return, and help manage risk, over a full market cycle.
- We aim to identify and exploit mispricing of individual stocks in the Japanese market, where 75% of the companies lack any sell-side coverage.
- Specifically, we seek small-cap companies with stable returns on capital, durable competitive advantages, strong free cash flow and attractive reinvestment opportunities. We also favor firms with attractive shareholder remuneration policies, whether in the form of buybacks or dividend payments.

Q&A

An interview with Portfolio Manager Masaki Nakamura

Q: Masaki, how did the fund perform for the six months ending April 30, 2026?

The fund advanced 17.46%, topping the 16.56% gain of its benchmark, the Russell/Nomura Mid-Small Cap℠ Japan Index and the 13.76% return of its Morningstar peer group average.

Looking a bit longer term, the fund rose 35.22% for the trailing 12 months, once again outpacing the benchmark but slightly lagging the peer group average.

Importantly, given our focus, longer-term performance comparisons favor the fund over the benchmark.

Q: What market events influenced the fund's investment environment during the period?

Several factors impacted the performance of small- and mid-cap stocks in Japan the past six months. These included a shift toward domestically driven growth, acceleration of corporate governance reforms, global investment in artificial intelligence infrastructure and fiscal stimulus.

Unlike large-cap companies, which rely heavily on export markets, Japanese small- and mid-cap companies are primarily domestic-oriented. During the reporting period, they directly benefited from Japan's transition into a mild-inflation environment, which supported local consumption and strong corporate capital expenditures.

For the past few years, the Tokyo Stock Exchange and the Japanese Financial Services Agency have been requiring companies to unwind cross-shareholder relationships – a common practice in Japan in which publicly traded companies hold substantial stakes in other publicly traded companies. Thanks to these efforts, many Japanese companies have improved their capital allocation procedures, thereby boosting returns on invested capital and returning excess capital to shareholders.

Amid the massive amount of capital flowing into companies focused on building the infrastructure to support the expansion of AI, small- and mid-cap Japanese companies leveraged to this trade performed very well. In particular, companies providing foundational base materials and packaging-related technologies for the semiconductor industry, along with those supplying memory components, stood out to the upside.

Additionally, political stability following the October 2025 election of Prime Minister Sanae Takaichi, and her subsequent sweeping policy initiatives – which included a massive $135 billion economic package passed late last year – injected liquidity into domestic infrastructure, AI supply chains, and localized growth industries where mid-cap companies are heavily integrated.

Within this environment, I continued to pursue my strategy of investing in what I consider to be fundamentally attractive companies that I believe have some distinctive catalyst to drive growth that is not fully appreciated by the market.

Q: Which sectors and stocks provided the biggest boost versus the benchmark?

Stock selection in the materials sector added the most value the past six months. Investment choices, combined with underweight exposure, to the lagging consumer discretionary group also notably contributed.

In terms of individual stocks, a sizable overweight in SWCC (+106%) was the top relative contributor this period. The company makes connectors for high-voltage power cables as well as other industrial devices. It controls about 75% of the niche market for these products and so enjoys strong pricing power. Over the past few years, SWCC has achieved consistently strong earnings growth, resulting from increased infrastructure investment by the private sector as well as the government-regulated power industry. Greater electricity demand fueled by AI data centers, along with expansion by semiconductor fabricators, were key fundamental drivers of SWCC's results this period.

Given the stock's strong multiyear performance, I substantially reduced the fund's investment during the period but continued to maintain a meaningful holding.

Hokuhoku Financial – a holding company for two regional banks and the fund's second-largest position and biggest overweight at period end – was another top contributor versus the benchmark. The stock rose by about 55% the past six months, driven by robust net interest income resulting from rate hikes by the Bank of Japan. Also, the bank retired dilutive preferred shares, which historically had weighed on earnings, and raised the dividend on its common shares, thereby boosting returns for common shareholders. Moreover, the bank announced plans for a further dividend increase and launched a share buyback program in an effort to improve capital efficiency.

I'll also mention Uyemura (+85%), a specialty chemicals company that develops surface treatments and plating equipment for printed circuit boards, semiconductors, automotive components and medical devices. In February, the company authorized a major share buyback program that, along with dividend increases, boosted investor confidence.

Q: What detracted from relative performance?

Sector-wise, adverse overall positioning in information technology, primarily among software & services companies, dampened the fund's relative return. Concern about AI disruption stemming from a series of product launches by Anthropic – developer of the Claude large language models – accelerated the sell-off among software industry stocks in the early months of 2026.

The biggest individual relative detractor was a large overweight in Visional (-32%). The company's flagship product is a membership-based, direct-recruiting career platform targeted to high-earning professionals and executives. It is often described as a Japanese equivalent to LinkedIn. The stock declined this period due to concern that AI may threaten the viability of the platform. In my view, these fears are overblown, and I used this period of stock price weakness to increase the fund's investment.

Within the hard-hit software group, an overweight in management consulting and IT solutions provider Nomura Research Institute (-42%) hurt. While I believe demand for IT services and software remains robust in Japan, I thought Nomura's relatively high valuation provided a limited margin of safety. Consequently, I sold the fund's position.

Q: Masaki, what is your outlook for the Japanese equity market as of April 30?

My outlook continues to be positive. It's encouraging to see an improving earnings trend among many types of companies, particularly in terms of earnings quality. High-quality earnings mean that profits come from core business operations and are backed by actual cash flow, rather than being artificially inflated by one-time events or aggressive accounting practices. The improvement I've seen in Japanese corporate earnings quality is a direct result of the efforts by the Tokyo Stock Exchange, activist investors and private-equity firms to strengthen corporate governance. Thanks to these reforms, an increasing number of companies are implementing better accounting procedures and making better capital allocation decisions.

Given the strong advance of stocks fueled by the AI trade, I do think that valuations in some cases have become stretched. As a result, I'm reallocating capital away from companies where I believe the stock price has gotten too far ahead of the business fundamentals and into companies where I think investors are underestimating the earnings growth potential.

As always, I will continue to monitor developments in the global economy. That said, my top priority is to find investment opportunities that fit within my investment process. I look for quality companies with robust competitive advantages, healthy balance sheets, strong free cash flow and a record of adroit capital allocation. ■

Masaki Nakamura on the role of Japanese companies in the growth of artificial intelligence:

"Japanese companies are major players in the global AI supply chain, manufacturing specialized semiconductor equipment, materials and advanced robotics.

"For example, Japanese firms are leaders in providing foundational base materials and packaging-related technologies that are helping fuel the innovation that is now occurring in the semiconductor industry.

"To highlight one capability in particular, advanced packaging is one of the fastest-growing areas in semiconductor manufacturing. A number of the fund's holdings are well positioned in this industry, including Resonac, a global leader in materials used for both wafer fabrication and packaging within the semiconductor production process.

"By way of explanation, advanced semiconductor packaging is a collection of manufacturing processes used to interconnect multiple individual computer chips into a single, high-performance package. In short, effective packaging boosts chip computing power and reduces electrical energy usage.

"Additional fund investments that I believe could be set to benefit from this growth theme include two chemical manufacturers: Toyo Gosei and Tokyo Ohka Kogyo. Both specialize in producing photolithography materials used to print microscopic circuits onto silicon wafers. Another is Renesas Electronics, a supplier of embedded semiconductors that act as the digital 'brains' and power regulators across a broad range of connected devices.

"These are well-managed companies that are disciplined in their capital allocation decisions, and offer attractive long-term growth potential, in my view. Consistent with my investment approach, I plan to continue owning these stocks while also looking for other opportunities that may not yet be fully appreciated by the market."

ASSET ALLOCATION

Asset Class	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
International Equities	97.13%	100.00%	-2.87%	-1.97%
Developed Markets	97.13%	100.00%	-2.87%	-1.97%
Emerging Markets	0.00%	0.00%	0.00%	0.00%
Tax-Advantaged Domiciles	0.00%	0.00%	0.00%	0.00%
Domestic Equities	0.00%	0.00%	0.00%	0.00%
Bonds	0.00%	0.00%	0.00%	0.00%
Cash & Net Other Assets	2.87%	0.00%	2.87%	1.97%

Net Other Assets can include fund receivables, fund payables, and offsets to other derivative positions, as well as certain assets that do not fall into any of the portfolio composition categories. Depending on the extent to which the fund invests in derivatives and the number of positions that are held for future settlement, Net Other Assets can be a negative number.

"Tax-Advantaged Domiciles" represent countries whose tax policies may be favorable for company incorporation.

MARKET-SEGMENT DIVERSIFICATION

Market Segment	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
Industrials	30.31%	24.38%	5.93%	4.72%
Information Technology	14.09%	14.20%	-0.11%	-7.67%
Financials	13.36%	14.72%	-1.36%	-0.51%
Materials	11.81%	8.54%	3.27%	2.07%
Consumer Discretionary	11.23%	15.16%	-3.93%	-0.32%
Consumer Staples	6.81%	6.85%	-0.04%	1.91%
Health Care	2.44%	5.19%	-2.75%	-0.02%
Energy	2.39%	2.05%	0.34%	0.10%
Real Estate	2.33%	3.91%	-1.58%	-0.76%
Utilities	1.85%	2.45%	-0.60%	1.33%
Communication Services	0.50%	2.56%	-2.06%	-2.83%
Other	0.00%	0.00%	0.00%	0.00%

COUNTRY DIVERSIFICATION

Country	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
Japan	99.47%	100.00%	-0.53%	-0.20%
Other Countries	0.00%	N/A	N/A	N/A
Cash & Net Other Assets	0.53%	0.00%	0.53%	0.20%

10 LARGEST HOLDINGS

Holding	Market Segment	Portfolio Weight	Portfolio Weight Six Months Ago
Kioxia Holdings Corp	Information Technology	3.84%	--
Hokuhoku Financial Group Inc	Financials	3.20%	2.67%
Renesas Electronics Corp	Information Technology	2.53%	1.52%
Sompo Holdings Inc	Financials	2.39%	2.22%
Visional Inc	Industrials	2.23%	2.08%
Ebara Corp	Industrials	2.16%	2.05%
Panasonic Holdings Corp	Consumer Discretionary	2.01%	--
Ajinomoto Co Inc	Consumer Staples	1.83%	1.97%
ORIX Corp	Financials	1.77%	--
Senshu Electric Co Ltd	Industrials	1.73%	1.40%
10 Largest Holdings as a % of Net Assets		**23.70%**	**21.30%**
Total Number of Holdings		**90**	**87**

The 10 largest holdings are as of the end of the reporting period, and may not be representative of the fund's current or future investments. Holdings do not include money market investments.

FISCAL PERFORMANCE SUMMARY: Periods ending April 30, 2026

	Cumulative		Annualized			
	6 Month	YTD	1 Year	3 Year	5 Year	10 Year/ LOF[1]
Fidelity Japan Smaller Companies Fund Gross Expense Ratio: 0.85%[2]	17.46%	14.66%	35.22%	19.33%	9.42%	9.13%
Russell/Nomura Mid Small Cap Japan Index (Gross)	16.56%	12.78%	32.23%	18.86%	8.54%	8.37%
Morningstar Japan Stock	13.76%	11.51%	35.76%	21.75%	11.36%	10.28%
% Rank in Morningstar Category (1% = Best)	--	--	33%	46%	42%	42%
# of Funds in Morningstar Category	--	--	42	36	33	25

[1] *Life of Fund (LOF) if performance is less than 10 years. Fund inception date: 11/01/1995.*

[2] *This expense ratio is from the prospectus in effect as of the date shown above and generally is based on amounts incurred during that fiscal year, or estimated amounts for the current fiscal year in the case of a newly launched fund. It does not include any fee waivers or reimbursements, which would be reflected in the fund's net expense ratio.*

Past performance is no guarantee of future results. Investment return and principal value of an investment will fluctuate; therefore, you may have a gain or loss when you sell your shares. Current performance may be higher or lower than the performance stated. Performance shown is that of the fund's Retail Class shares (if multiclass). You may own another share class of the fund with a different expense structure and, thus, have different returns. To learn more or to obtain the most recent month-end or other share-class performance, visit fidelity.com/performance, institutional.fidelity.com, or 401k.com. Total returns are historical and include change in share value and reinvestment of dividends and capital gains, if any. Cumulative total returns are reported as of the period indicated. **Please see the last page(s) of this Q&A document for most-recent calendar-quarter performance.**

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FUND RISKS

Stock markets, especially foreign markets, are volatile and can decline significantly in response to adverse issuer, political, regulatory, market, or economic developments. Foreign securities are subject to interest rate, currency exchange rate, economic, and political risks. The risks are particularly significant for funds that focus on a single country or region. The securities of smaller, less well-known companies can be more volatile than those of larger companies.

IMPORTANT FUND INFORMATION

Relative positioning data presented in this commentary is based on the fund's primary benchmark (index) unless a secondary benchmark is provided to assess performance.

INDICES

It is not possible to invest directly in an index. All indices represented are unmanaged. All indices include reinvestment of dividends and interest income unless otherwise noted.

Russell/Nomura Mid-Small Cap Index measures the performance of medium and small companies that represent the smallest 50% of companies of the Russell/Nomura Total Market Index as defined by float-adjusted market-capitalization. The Russell/Nomura Total Market Index represents 98% of the investable Japan equity market, consisting of common stock securities domiciled in Japan.

MSCI ACWI (All Country World Index) Index is a market-capitalization-weighted index that is designed to measure the investable equity market performance for global investors of developed and emerging markets.

MARKET-SEGMENT WEIGHTS

Market-segment weights illustrate examples of sectors or industries in which the fund may invest, and may not be representative of the fund's current or future investments. They should not be construed or used as a recommendation for any sector or industry.

RANKING INFORMATION

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% Rank in Morningstar Category is the fund's total-return percentile rank relative to all funds that have the same Morningstar Category. The highest (or most favorable) percentile rank is 1 and the lowest (or least favorable) percentile rank is 100. The top-performing fund in a category will always receive a rank of 1%. % Rank in Morningstar Category is based on total returns which include reinvested dividends and capital gains, if any, and exclude sales charges. Multiple share classes of a fund have a common portfolio but impose different expense structures.

RELATIVE WEIGHTS

Relative weights represents the % of fund assets in a particular market segment, asset class or credit quality relative to the benchmark. A positive number represents an overweight, and a negative number is an underweight. The fund's benchmark is listed immediately under the fund name in the Performance Summary.

Manager Facts

Masaki Nakamura is a research analyst and portfolio manager in the Equity division at Fidelity Investments. Fidelity Investments is a leading provider of investment management, retirement planning, portfolio guidance, brokerage, benefits outsourcing, and other financial products and services to institutions, financial intermediaries, and individuals.

In this role, Mr. Nakamura manages Fidelity Japan Smaller Companies Fund. Additionally, he performs widespread fundamental research on Japanese small cap companies.

Prior to joining Fidelity in 2010, Mr. Nakamura was an assistant vice president at BlackRock in their global equity team and an assistant vice president at Merrill Lynch Investment Managers. He has been in the financial industry since 2002.

Mr. Nakamura earned his bachelor of arts degree in economics from Keio University and his master of business administration in finance and strategy from The Wharton School of the University of Pennsylvania.

PERFORMANCE SUMMARY:
Quarter ending September 30, 2026

	Annualized			
	1 Year	3 Year	5 Year	10 Year/ LOF[1]
Fidelity Japan Smaller Companies Fund Gross Expense Ratio: 0.85%[2]	27.08%	22.51%	10.08%	9.08%
% Rank in Morningstar Category (1% = Best)	37%	51%	44%	59%
# of Funds in Morningstar Category	43	37	35	25

[1] *Life of Fund (LOF) if performance is less than 10 years. Fund inception date: 11/01/1995.*

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Before investing in any mutual fund, please carefully consider the investment objectives, risks, charges, and expenses. For this and other information, call or write Fidelity for a free prospectus or, if available, a summary prospectus. Read it carefully before you invest.

Past performance is no guarantee of future results.

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